answer: “Why should we even bother trying?”

As it turns out, there are only two ways an investor can own these enormous winners: Through *inclusivity* or *exclusivity*.

The exclusive approach is to carefully screen and research every company that is publicly traded to home in on those rare, outsized winners. Exclude everything else, own what you hope are the best of the best. Patiently wait a few years or decades to find out.

The inclusive approach is the opposite: *Buy every stock*, thereby ensuring that you will own the big winners, as well as lots of mediocre performers and plenty of outright losers.[220] This keeps your costs low, and time works in your favor. Eventually, winners push aside the losers, as they accumulate market capitalization-weighted size.

“Don’t look for the needle in the haystack. Just buy the haystack,” advised Jack Bogle, founder of investing giant Vanguard Group, which today manages $9.5 trillion in client assets.

Each approach has advantages and disadvantages. The exclusive approach requires that a high number of low-probability events break your way. First, your methodology must allow you to identify rare companies that will generate outsized returns over time, in advance. At the same time, you must be able to avoid the various value traps and other false starts. This is not impossible, but it is very, very difficult. It has worked wonders at separating investors from their money.

There is a second implied question here: Once you find the rare companies in that fortunate 4%, you have to hold on to them. This too is much more challenging than most realize. The stellar stocks tend to have regular, gut-wrenching price slumps; name any big winner of the past few decades and all have suffered retreats of 50, 60, even 90% on the way to creating great wealth. The typical stock picking investor lacks the fortitude and discipline to manage the pain of these severe price fluctuations, especially when they become a very sizable proportion of their net wealth.